flows through the structure less network that develops spontaneously within any organisation. People who know each other are bound to talk and most often they talk about the organisation where they work. Employees want to know what is going on in the organisation and when they lack the information they seek it from others. The grapevine carries two types of information – work related and people related.



Figure 7.11 Informal Communication

7.19 Difference between formal and informal communication

Basis for comparison	Formal communication	Informal communication
Meaning	All type of verbal communication in which the interchange of information is done through the pre-defined channels is known as formal communication	All type of verbal communication in which the interchange of information does not follow any channels i.e. the communication stretches in all directions.
Another Name	Official communication.	Grapevine communication.
Reliability	More	Comparatively
Speed	Slow	Very fast
Evidence	As the communication is generally written, documentary evidence is present.	No documentary evidence.
Time consuming	Yes	No
Advantage	Effective due to timely and systematic flow of information.	Efficient because employees can discuss work related problems, this saves time and cost of the organization.
Disadvantage	Distortion due to long chain of communication.	Spread of rumors
Secrecy	Full secrecy is maintained.	It is difficult to maintain the secrecy.
Flow of information	Only through predefined channels.	Can move freely.

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